## II. Non-Geographical Factors

**1. Capital:** Capital or huge investment is needed for the establishment of industries without which no industry can be established.

**2. Availability of Loans:** In most cases, it is not possible to start an industry with enough capital in hand. So, the investors seek loan to start the industries. Thus, the organizational set up which provides loan and insurance are required.

**3. Government Policies/Regulations:**

Government policies are another important factor that influences industrial location. The government sets certain restriction in the allocation of land for industries in order to reduce regional disparities, to control excessive pollution and to avoid the excessive clustering of industries in big cities. So, the policies also affect the industrial locations.

### ACTIVITY

Think about Black Board and chalk piece

1. Name the raw materials used for production.
2. Find the places of their production.
3. Name the industrial category in which chalks are made.

# Classification of Industries

Industries are classified on various basis in the following ways.

### On the basis of Raw Materials



**Agro Based Industries**

**(i) Agro Based Industries:** These industries use plant and animal based products as their raw materials. Example: Food Processing, Vegetable Oil, Cotton Textile, Dairy Products, etc.

**(ii) Mineral Based Industries:** These are the industries that use mineral ores as their raw materials. Iron made from iron ore is the product of mineral based industry. Cement, Machine Tools, etc. are the other examples of mineral based industries.




**Mineral Based Industries**

**(iii) Marine Based Industries:** These industries use products from the sea and oceans as raw materials. Example; Processed Sea Food, Fish Oil manufacturing units etc.



**Marine Based Industries**

**(iv) Forest Based Industries:** These industries use forest products as their raw materials. Example: Pulp & Paper, Furniture and Some Pharmaceuticals industries, etc.



**Forest Based Industries**



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